

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

PRO TRANSPORT CHARLESTON, INC., *Complainant*

v.

ALLROUND MIDWEST FORWARDING, INC., *Respondent*.

DOCKET NO. 22-15

Served: August 22, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

INITIAL DECISION APPROVING DISMISSAL AGREEMENT¹

This complaint was initiated on June 13, 2022, when Complainant Pro Transport Charleston, Inc. (“Pro Transport”) filed a complaint alleging that Respondent Allround Midwest Forwarding, Inc. (“Allround”) violated the Shipping Act. On June 27, 2022, Pro Transport filed a Notice of Dismissal, requesting that the proceeding be dismissed pursuant to an agreement between the parties. Pro Transport was advised that a copy of the parties’ agreement must be filed. On August 8, 2022, the parties filed an Agreement in Support of Dismissal of Petitioner’s Complaint.

Using language borrowed in part from the Administrative Procedure Act, Rule 75 of the Commission’s Rules of Practice and Procedure gives interested parties an opportunity, *inter alia*, to submit offers of settlement where “time, the nature of the proceeding, and the public interest permit.” 46 C.F.R. § 502.75(b); *see* 5 U.S.C. § 554(c). If dismissal is sought due to a settlement by the parties, “the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable.” 46 C.F.R. § 502.72(a)(3). “Unless the order states otherwise, a dismissal under this paragraph is without prejudice.” 46 C.F.R. § 502.72(a)(3).

The Commission has a strong and consistent policy of “encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.” *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002) (quoting *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978) (*Old Ben Coal*)). *See also Ellenville Handle Works, Inc. v. Far Eastern Shipping Co.*, 20 S.R.R. 761, 762 (ALJ 1981).

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

The law favors the resolution of controversies and uncertainties through compromise and settlement rather than through litigation, and it is the policy of the law to uphold and enforce such contracts if they are fairly made and are not in contravention of some law or public policy. . . . The courts have considered it their duty to encourage rather than to discourage parties in resorting to compromise as a mode of adjusting conflicting claims. . . . The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn, to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Old Ben Coal, 18 S.R.R. at 1092 (quoting 15A AM. JUR. 2D *Compromise and Settlement* § 3 (1976)).

“While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation.” *Old Ben Coal*, 18 S.R.R. at 1092. However, if “a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval.” *Old Ben Coal*, 18 S.R.R. at 1093. “[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988) (citations omitted).

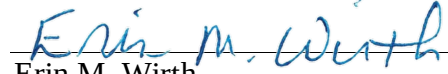
“Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (FMC 2009) (citing *Puerto Rico Freight Sys. Inc. v. PR Logistics Corp.*, 30 S.R.R. 310, 311 (ALJ 2004)).

This proceeding was filed based upon the alleged failure of Allround to maintain a surety bond. The existence of the bond has been established to Complainant’s satisfaction. The parties have agreed to dismiss the proceeding with each party bearing their own fees and costs. Based on the documents filed in this matter, the parties have established that the agreement does not appear to violate any law or policy or contain other defects which might make it unapprovable. The parties are both represented by counsel and have engaged in arms-length negotiations. The proceeding would require potentially expensive discovery and briefing. The parties have determined that the agreement reasonably resolves the issues raised in the complaint without the need for costly and uncertain litigation. Accordingly, the agreement requesting dismissal is approved.

Upon consideration of the notice of dismissal, the agreement in support of dismissal, and the record, and good cause having been stated, it is hereby:

ORDERED that the request to approve the agreement between Pro Transport and Allround and dismiss the proceeding be **GRANTED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.


Erin M. Wirth
Chief Administrative Law Judge